

The World Cup Story, Part 3: 'FIFA, What Have You Become?'

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AI Executive Summary

Core Thesis The 2026 World Cup represents a fundamental paradigm shift for FIFA, marking the organization's transition from a traditional sporting governing body into an unapologetic global entertainment conglomerate. By prioritizing unprecedented scale (a 48-team format), aggressive commercialization (monetized hydration breaks and dynamic pricing), and "content-driven" decision-making (prioritizing star power like Messi over tournament merit), FIFA has embraced a model where the economic maximization of "the product" outweighs traditional sporting principles, such as the sanctity of on-field officiating and the separation of politics from sport.

Key Arguments & Data

- * **Tournament Expansion & Success:** The move from 32 to 48 teams successfully introduced new competitive narratives and "feel-good" stories through teams like Norway, Cape Verde, and Curacao, proving that increased scale does not necessarily lead to mismatched games.
- * **Financial Projections:** The tournament was projected to hit \$11 billion in revenue, with potential to reach \$15 billion; early indicators suggest massive success due to sell-out crowds and record-breaking US viewership for matches like the USA vs. Belgium game.
- * **The "VAR" Debate:** The widespread use of Video Assistant Referee (VAR) technology has created a "meta-debate" regarding the erosion of the game's emotional rhythm; critics argue that frequent, minute reviews for distant infractions (e.g., the Egypt vs. Argentina goal) undermine the natural flow and joy of soccer.
- * **Political Intervention & Precedent:** A landmark breach of FIFA's "non-political interference" principle occurred when US President Donald Trump intervened with FIFA President Gianni Infantino regarding a red card issued to American player Balogun, resulting in an overturned suspension—setting a dangerous precedent for future political influence on gameplay.
- * **Commercialization of Gameplay:** The introduction of "hydration breaks" is viewed as a strategic way to insert advertising opportunities into the natural pauses of the game, effectively segmenting soccer into something resembling American football quarters.
- * **The Rise of the "Content Factory":** Evidence suggests FIFA is prioritizing "box office" value over sporting merit, exemplified by inviting Lionel Messi to the Club World Cup.

based on individual star power rather than team championship status in Major League Soccer.

Actionable Takeaways

- * **For Investors and Media Strategists:** Monitor the "entertainment-ification" of professional sports. The shift from purely athletic competition to a "content factory" model creates significant new opportunities in advertising, digital rights, and sponsorship, particularly during newly created "intermission" windows like hydration breaks.
- * **For Sports Management Professionals:** Prepare for an era of increased regulatory complexity. As the boundary between political influence and sporting governance thins (as seen in the Balagon incident), organizations must develop more robust frameworks to protect the integrity of officiating against external pressures.
- * **For Consumers and Fans:** Anticipate higher costs and a different viewing experience. The trend toward "dynamic pricing" and larger, more expensive tournament formats suggests that attending major global sporting events will increasingly require significant financial planning and an acceptance of more frequent gameplay interruptions.

Full Transcript

We've had five solid weeks of World Cup fever. High highs. And low lows. There was politics. President called the head of FIFA to discuss the controversial red card. FIFA on Sunday shocked the tournament by sidelining the suspension. Controversy on the field. Surely this is not within BAR's remit to review this. It's the full length of the pitch away.

Foreign fans discovered American delicacies. Ranch. I love ranch. I tasted it. It's delicious. But even all the ranch dressing couldn't drown out that quintessential soccer emotion. Heartbreak. Joshua Robinson, Jonathan Clegg, both of your teams got knocked out in the semifinals. France, in England. I'm so sorry. Fortunately, you know, 40 years of experiencing this heartbreak over and over and over and over again has sort of enewered me to a crushing disappointment. I mean, and Josh, I feel like, you know, France was one of the favorites. Yeah. But it was a distinctly French thing to do, which is produce the most beautiful thing imaginable from most of the tournament and then revert to a completely different French emotion, which is what? Which is utter disgust.

Now the tournament is down to just two teams Spain and Argentina they face off on Sunday ahead of the final I got back into the studio with Josh and John to talk about the World Cup so far What are some words that you would choose to describe this year's World Cup? The word I'd use is epic in every sense of the word simply because of the size and scale of this whole thing whether it's the sheer number of teams who are in this, the sheer number of fans who came over. What about you, John? Super size. In keeping with the American setting for this World Cup, it's just been enormous, sprawling different countries, different time zones, but a spectacular run of games has made it a huge success. We're going to look back at the 2026 World Cup as a kind of BCAD moment in the history of the tournament. It's never been this big. It's never been this ambitious, and it's never been this unapologetic about itself as a commercial enterprise. It was the World Cup where they realized that there is not enough, there cannot be enough World Cup. There always needs to be more. Welcome to The Journal, our show about money, business, and power. I'm Ryan

Knudson. It's Friday, July 17th. Coming up on the show, how this year's North American World Cup has changed the game of soccer forever.

How many games have you guys watched in person? I think I've been to 10. Wow. 10, so. I've been to 17 games so far. 17. And I think taken 22 flights. I'm basically a flight attendant now. That was before the semi-finals when we first spoke. It's now gone up to 12 games for John and 20 for Josh. All right, well, let's talk about the football itself. This has been the biggest World Cup ever.

48 teams instead of 32. How did that work out? I think we were initially skeptical about the 48 team format and thought they would create a lot of mismatches and a lot of teams that just didn't really belong at the World Cup. Pretty quickly we realized we were wrong about that. All of these teams, you know, the ones who were in that 32 to 48 space that wouldn't have made the World Cup previously, they all delivered. Right, you're talking about countries like Cape Verde, Norway, Paraguay. Exactly. They came and they were, you know, real teams of professionals who wanted to put their country on display. Think about Norway, for instance. That was a team that hadn't been to the World Cup since 1998. And here they were, led in by this extra room, an extra wiggle room in qualifying. And they became immediately one of America's darlings. And that's not to mention Curacao and Cape Verde. Cape Verde, thank you. On behalf of the world, you made us dream and watch your dreams.

You know, Creep Verde, especially a team that managed to pull off a draw against Spain and play Argentina quite close in the knockout rounds, that was one of the feel-good stories of this tournament and they would not have been in without 48 teams. And I think it's no coincidence that the 48 team tournament is the first one where we've seen so many of the biggest stars in soccer, you know, hitting the heights and firing on all cylinders at the same time. One of the other big storylines of this World Cup was this instant replay system that they have, VAR. There were several controversial decisions that led to goals being disallowed or players being sent off after a VAR review. Well, we've seen the rapid rise of VAR across World Soccer for the past five years or so. And what it's done is just created an entirely new sphere.

for fans to litigate every single decision. I don't know what is happening, but I feel like VAR is actually ruining this game. And I watch it in football and there's just like this massive element of doubt over every little decision. They did not follow the right VAR protocol. We have this meta debate now of when VAR should and shouldn't be used. It's also caused this crazy shift in the rhythms of the game where goals go in and you have no idea if it's a real goal or not, because it may need to be checked. Where every penalty, every contact in the box immediately causes outrage among fans who are demanding a review. And we've seen a really quite heavy handed application of that at this World Cup where the AR is being used seemingly with more latitude than ever before. And I think one of the best examples was the Egypt goal against Argentina, where Egypt had a goal disallowed at a crucial point in the game for a foul that happened 90 yards away.

much, much earlier in the build-up. Egypt felt that they were mistreated after a VAR intervention disallowed Mustafa Ziko's goal for a foul. Did Egypt just get robbed? I will say I think one of the reasons that there has been such pushback and such outrage about the way that VAR is used in soccer is that as recently as sort of 15 years ago, soccer was something of a sort of luddite when it came to technology and sports. There was no instant replay, there was no sort of goal line technology to let you know whether the ball had bounced one side of the line or the other. Offsides were decided on by the linesman, you know, whether he raised his flag or not. None of that stuff was automated as it is now. And that all changed at the 2010 World Cup at a game that I was at when England played Germany at the knockout rounds and a guy called Frank Lampard struck a shot from outside the area that hit the crossbar and bounced about a foot.

beyond the goal line, clear goal, even clear to me watching from the press box. That definitely went over the line by a yard. It was clear that the ball had bounced beyond the line, but the referee was the one person in the entire stadium who hadn't seen that. Do, say the officials over the line or not. Yes, most definitely. It's well over. England had denied an equaliser. Germany went on to win that game four to one. And FIFA's line at the time was that, like, this is the way football is. Sometimes these things happen and they're not fair, but this is the human element of football. And officiating will always be done by humans. It's a sort of metaphor for life,

exactly. You have to take the ups and downs because the next time the luck will go with you. And the fact that we have now moved so quickly in the space of 15 years to an environment where we are you know, litigating the smallest decisions in slow motion replay to determine whether or not someone, you know, intentionally or accidentally stepped on the back of somebody else's ankle, soccer fans are still sort of taken aback by how quickly this has happened. After that controversial non-goal, FIFA introduced goal line technology to help determine whether a goal had been scored. As a casual soccer fan who like kind of really wants to be a soccer fan, Watching this World Cup and seeing how VAR has been applied, it has honestly turned me off. It makes me think that maybe I need to be careful before falling too in love with this sport. But I think it would be much the same experience if you were tuning into the NFL today for the first time or the last three minutes of an NBA playoff game where we have no idea what is a catch that the last three minutes take.

15 minutes because you have six reviews. Although, I actually think that it's a bit different because in football, if you're at the 10-yard line and you score a touchdown and gets called back because there's a penalty, you're still at the 10-yard line or you move back five or 10 yards, you get three more chances in the end zone. In soccer, they take back a goal and that's it. You're back to the drawing board. You don't get any kind of credit for that progress that you had made up until that point. Yeah, it's a low scoring game, goals are very rare, so the idea of one being chalked off for something that was not visible or notable in real time. No human would have caught, all you can see on the VAR are the sensor inside the ball that it grazed the Croatian player's head.

And I will say a lot of soccer fandom is like the joy of it is the long wait for that sort of fleeting moment of ecstasy that happens when a goal hits the back of the net. And to take that away does feel sort of more emotionally difficult to sort of handle than it does when a catch is ruled incomplete or a completion. But I will say if you're finding it tough to sort of get on board with soccer because of that. I would sort of argue that actually all these things that we've seen, the seemingly arbitrary, unfairness of instant replay, this is actually part of what makes soccer such an amazing game to follow. It is an outrageous game. You're a masochist, John. I think you like pain.

For many US fans, the most painful and most replayed moment of this entire World Cup was the fuller in Balagon red card. Balagon, the top US goal scorer.

got that red card only after a long VAR review. A review that showed him stepping on the ankle of a Bosnian Herzegovina player. Wow. Getting a red card meant he had to leave the field immediately, and he had to miss the next game. Did he deserve a red card? I mean, I was watching that game and thought, this doesn't seem like it was intentional. Yeah, he stepped on his foot, but it wasn't like he was trying to hurt him or making a play that wasn't just a soccer play. You could argue it either way, because the rules don't actually make a provision for intention. It remains a dangerous challenge, and so it wasn't a completely ludicrous call from the referee. I think how accidental it was also depended a bit on whether you were watching it with American eyes or Bosnian eyes, because I'm sure they felt it was an outrageous challenge that was absolutely deserving of a red card. And also at what speed? Because the more you slow it down, and the more angles you see this thing from, the worse it looks.

But the call on the field wasn't the most shocking part. It was what happened next. So I saw the play and I'm a person that loves sports and was a good athlete. And I understand sports really well, really well. And that wasn't a foul. That wasn't even an infraction. I never thought I'd see the day that a U.S. president involved himself in something that happened on the field at the World Cup. After the break, Trump's intervention and what it means for the future of the World Cup. Plus, FIFA's cash bonanza. Stay tuned. After the game where Baligan got that red card, President Donald Trump called the head of FIFA, Johnny and Fantino, a man he knows well. You can hear all about their relationship in our last World Cup episode. Yeah, I did. I spoke to Johnny, who's highly respected. Donald Trump calls his personal friend Johnny and Fantino and simply asks him to look at this decision. He says that he doesn't explicitly ask him to overturn it.

FIFA says its disciplinary committee revisited the decision and decided to suspend Balagan's punishment, meaning he'd be able to play in the next match, the round of 16 against Belgium. How big of a moment do you think this will be in the history of FIFA World Cups? I mean, I think huge. I think

it is honestly like a line in the sand that there will be a before and after the Balagan decision. Has anything like this ever happened before where there was this kind of intervention? this high of a level? In the modern history of soccer, if you get a red card you miss the next game and that's just the way it goes. So there had been no sort of precedent for that in terms of the on-the-field decision and the off-the-field decision, the idea of a head of state, the US president, the leader of the free world getting involved in something as sort of mundane as whether a player will be available for a World Cup game is certainly without precedent. But you will recall from when we spoke the last time that Johnny Infantino has spent the previous decade sort of cozying up to Trump and visiting the Oval Office numerous times, accompanying Trump on his many trips around the world for matters that have zero relevance to professional soccer. But this is the time when that relationship that Infantino has spent so long carefully building really comes into its own. In the end, Belgium beat the US four to one.

In a statement, FIFA's disciplinary committee said, quote, reviewing the legal consequences of red cards and football is nothing new in the modern game. After their win, which eliminated the US, the Belgian team posted a message on social media, overturned this. And the player is celebrated by doing the Trump dance. The fact that there is now a precedent for a red card to be overturned, you saw it immediately in the days afterwards when other players who had been red carded or yellow carded, immediately their national federations started appealing to FIFA, requesting that those decisions also be overturned. The fact that that precedent now exists means that there will always be that sort of grey area or window for FIFA to step in and intervene. And once that window has been jammed open, even a sliver, you know that these things will continue to happen. I think that this also marked a sort of sea change in how FIFA involves itself in the actual game that happens on the field. You know, we have talked a lot about FIFA's long history of corruption and under-the-table dealing in our previous episodes. But all of that was really concerned the stuff that happens around the World Cup. Where will the games be played? Which country gets to host it? How many teams will be involved? It's all really like about the sort of economics or logistics of putting on the World Cup. And this was the first time that FIFA had really intervened to affect what happens on the pitch. And that, I think, is a seismic change in what they were able to do. And one that even

figures from FIFA's scandal-ridden past felt had sort of crossed the line. The former head of FIFA, Seth Blatter, who stepped down after FIFA's corruption scandals but was never charged, spoke out about the Balgan decision. He tweeted, And if you've outraged Stepblatter and his sense of what is proper, then you know you've gone a little bit far. FIFA as an organization has always, always preached this idea that they resist any political interference, any political messaging even within the white lines of the pitch. That is sacred to them. And in one fell swoop, they've completely blown that up.

How would you answer that question that Seb Blatter posed? What have you become, FIFA? I think it just leaves the door open now to more interference, more intervention, and dense FIFA's legitimacy, I know it sounds crazy, but dense it in a way that it hadn't been before. You know, I don't think that it will affect Gianni Infantino's election prospects, but it does make it harder for him. We know that also. anytime he now preaches this idea of non-political intervention, that it's not true. It's simply not anything he can defend anymore. The fact that they were willing to row back on, essentially their most fundamental principle to placate the US president and get an American player's suspension put off is really a major moment in the organization's history.

It also adds to the impression that FIFA is now less a sort of sporting organization, an organization of sports administration, and more the sort of content factory, like an entertainment conglomerate. John says this impression really started to emerge two years ago during something called the Club World Cup that was supposed to be a tournament of all the champions from the various leagues around the world, as in the champion of the Spanish League plays the champion of the English League, etc. And they promised to invite the champion of the US, the champion of Major League Soccer. But when it came to it, they actually did not invite the champion of Major League Soccer. They invited Lionel Messi into Miami, who had finished the regular season with the best record, but had not won the championship. They were knocked out in the playoffs. Now FIFA specifically found a loophole by saying that all the other champions who were invited were the teams who finish at the top of their table. But American's force does not work like that. The regular season does not

decide who is the champion. The champion is decided by the playoffs. FIFA overlooked that, decided to invite Lionel Messi, and that was purely to ensure that Messi would take part in the tournament because they know Messi is box office and people will pay through the nose to watch Messi play in those games. And I think that was really the first Sign of how far in Fantino is willing to go to sort of put his thumb on the scale to make sure that the product the games on the pitch Adhere to the sort of vision he has for FIFA rather than letting the sports stuff happen and administering everything outside of that So let's dig in on that entertainment value and the money that FIFA makes from that We talked in our earlier episodes about how this tournament was expected to be super lucrative for FIFA They're talking about it is like 104 Super Bowls Is it possible to get a sense of how profitable this tournament has been so far? Has it has it delivered on that? We won't know for sure until FIFA releases the numbers. The target was 11 billion. There was talk of it hitting 15 billion. And based on the games we've been to, nearly every game has been a sellout. None of these fears about tickets being too expensive to actually fill the seats came to pass, you know, everywhere we've gone.

We have seen fans spend money like drunken sailors. Everyone's got a giant bag full of merch. Everybody's in debt now. Everybody's in debt The ratings have been insane the record for the most watch soccer game in US history has been broken I think at least twice we had England Mexico from the Azteca which was incredible We also had the US Belgium game that instantly became the most watched us game so I think by all accounts, FIFA will claim this as a massive, massive success. Yeah. I think the number is going to be enormous. And I think it will exceed the 11 billion figure that they hoped for. And everyone's making out here. The broadcasters, we know that even the amount of ads they've sold in the hydration breaks, they kind of equaled what they made in advertising from the Last World Cup just in the ads that they've sold during the hydration breaks. So it's definitely been, in that side of things, it's been a monumental success.

The hydration breaks also feel like another area where FIFA is changing the actual game itself because when I watch soccer, I can't take my eyes off it because a goal can literally happen in seconds. And so the hydration break is like, no, let's stop the action so we can make room for capitalism. Yeah.

The hydration breaks really make a huge difference. I know it seems crazy that a three-minute drinks break in the middle of a half would change it, but it really does feel like the soccer game is now happening in quarters. Even just discussing it with Josh, I'll be like, oh, you remember in the third quarter we had this. That sort of has definitely changed the way that we experienced the games.

So much of soccer is because the scoring is relatively low. So much of it is about the momentum and the slow ratcheting up of tension, where one team is suddenly having more and more of the ball, and the other team really feels pending. The fact that that is then disrupted by this break, and then the coach gets to explain that, no, no, no, you need to do this, you need to do this. And for the teams under pressure, it also acts kind of like an emergency NBA timeout, where it just gives them a breather, and suddenly that moment, the build up, they're like, constant pounding of crosses and passes into the box stops for a moment, and then they're gonna be okay. Yes, like the bell at the end of the round. FIFA says the hydration breaks are a way to prioritize player welfare. We talked in the last episode about how sort of American this tournament might feel with these hydration breaks for more commercials as the final having a halftime show. Has it felt sort of American in the way that you were anticipating? Felt so American. How so? I think what's amazing about this tournament is how worried we all were before that politics would interfere in it, that people wouldn't feel welcome, that people would come to America and think, hang on, this whole thing is a giant pastiche of a World Cup. What we saw instead was 40-something countries coming to America and seeing a different kind of America. It's not the product that World Cup organizers thought they were going to give them. It wasn't, hey, come look at our lavish NFL stadiums and eat our popcorn and drink our beer. They kind of showed up, discovered a form of American hospitality in the most unlikely places, I think back to the Algeria team partying with people in Lawrence, Kansas, the Tartan army drinking Boston dry. In New York when they came to play here. Exactly. Wherever they went, they left not a beer unturned. And that was kind of the legacy of at least the first few weeks of this party. I think I thought beforehand that there might be times when this felt like a sort of, you know, foreign...

sport that happened to be being played in the US. But I think what's inarguable is that America has sort of managed to put its imprint on this tournament. And I think in that sense, the US succeeded in sort of making this an American World Cup, which I wasn't really sure how well they would be able to do that beforehand. So do we think that like the economic things, so to speak, dynamic pricing, the high prices, the cities that were charging exorbitant amounts to take public transit out to these stadiums, are those things going to be here to stay for future World Cups? 100%, yes. FIFA is not going to roll back from that. Now, I think there are questions to be asked about how well some of those models will work when the World Cup moves to less affluent hosts than North America. But again, who knows what their plans are for which countries can host this tournament in the future.

We've already heard from Gianni Infantino about his plans to increase the tournament to 64 teams, which was something that we foreshadowed heavily when we discussed this before the tournament started. Would it surprise anyone if that happened as soon as the next World Cup? It could easily happen by then. But one thing is for sure is that if something has made money for FIFA, they are not going to go back to the way it was before. It sounds like this World Cup has shown us that FIFA, the tournament, and even the sport itself are changing. Is that the legacy? Do you think of this World Cup? Yeah, I actually think if there's a legacy that Infantino and FIFA will take from this, it's actually that there is no such thing as peak World Cup. They maxed this thing out as big as they possibly could. And people just ate it up. And so I think that they will just see more equals good and just lean into the more. And I think for us, it also confirmed that This thing that we've kind of known from covering previous World Cups, which is that no matter what the chatter is in the build-up, no matter how scandal-ridden or potentially disastrous it is, and we're talking about human rights in Qatar, it was geopolitics in Russia, it was ticket prices here, the big narrative ceases the moment the football starts, and then it just becomes this insane kind of tidal wave of soccer that dominates everything else.

This episode has been updated. An earlier version said the U.S. played Belgium in the quarter-final. They actually played in the round of 16. That's

all for today. Friday, July 17th. This episode was produced by Max Green with help from Evelyn Fajardo-Alvarez. It was edited by Pia Gettkari. By the way, this Sunday we have another episode in our special series about all the ways work is changing. Last Sunday's episode is about AI, and this week it's about influencers.

I hope you'll check it out. The journal is a co-production of Spotify and The Wall Street Journal. The show is made by Laura Benchoff, Katherine Brewer, Sophie Codner, Matt Kwong, Colin McNulty, Jessica Mendoza, Laura Morris, Enrique Perez De La Rosa, Sarah Platt, Alan Rodriguez Espinoza, Heather Rogers, Pierce Singhy, Jeevika Verma, Katherine Whalen, Tatiana Zamise, and me, Ryan Knudson. Our engineers are Griffin Tanner, Nathan Singapok, and Peter Leonard. Our theme music is by So Wiley and remixed in today's episode by Peter Leonard. Additional music this week from Katherine Anderson, Peter Leonard, Billy Libby, Bobby Lord, Emma Munger, Nathan Singapok, Griffin Tanner, So Wiley and BluDot Sessions. Fact-checking this week by Nicole Fasolca. Thanks for listening. We'll see you Sunday.